

ABOUT THIS TEMPLATE

Create a Business Start-up Financial Plan using this template.

Get an overview of a financial plan in Overview worksheet.

Use the Start-up Costs Template and P&L Template worksheets to keep account of Start-up Costs and Profit & Loss.

Start-Up Costs Example and P&L Example worksheets contain sample data in tables.

Note:

Additional instructions have been provided in column A in all worksheets. This text has been intentionally hidden. To remove text, select column A, then select DELETE. To unhide text, select column A, then change font color.

To learn more about tables, press SHIFT and then F10 within a table, select the TABLE option, and then select ALTERNATIVE TEXT.

BUSINESS START-UP FINANCIAL PLAN

Creating a financial plan is where all of the business planning comes together. Once you have identified your product, the target market, and target customers, along with pricing, you are ready to begin forecasting costs, sales, and profit. These items along with your assumptions, will help you estimate your sales forecast. The other side of the business will be what expenses you expect to incur. This is important on an ongoing basis to see when you are profitable. It is also important as you start your business, to know what expenses you will need to fund before customer sales or the cash they generate is received.

Projected Start-Up Costs: The table in the next tab, Start-Up Costs Template, provides a blank template with some instructions for getting started. The next tab, Start-Up Costs Example, shows a sample of ongoing and one-time cost items that you might need to open your business. Many businesses are paid on credit over time and don't have cash coming in immediately. It is important to estimate when cash will begin to flow into the company by making an assumption about how many months of recurring items, in addition to one-time expense, you will have to fund out of savings or an initial investment.

Projected Profit and Loss Model: In the tab, label P&L Template, you will find a blank template to do Sales Forecasting and a Profit and Loss Model. The next tab, P&L Example, shows a sample of the projections a small business is forecasting for their first 12 months of operations. The top portion of the table in each model shows projected sales and gross profit. This is a good place to begin creating your sales forecast. The next section, below, itemizes the recurring expenses you are projecting for the same months. These should be consistent with the estimated start-up costs you completed in the prior section. At the bottom of this model, you will begin to see when you are becoming profitable and what expense items are the most impactful to your profitability.

Keep track of your assumptions that you make for estimating Revenues and Cost of Goods Sold. For businesses that have not begun to operate yet, you should have an understanding of how to estimate these for your product or service. Some estimating guidelines are below:

Revenues: Begin by determining from your target market (the group of prospective customers, businesses or consumers) how many of these would be targets in the first year. What percentage of these do you expect to close? What is an average transaction for them to purchase your product or service? How many can you do in the first month, the second, and so on? You may want to start with a number in the first month and grow it by a percentage, say 10%. As an example, if you sell cleaning services to small businesses in your town and there are 500 businesses that you think need the service. If the average contract is for \$250/month, then you need to estimate how many businesses you can sign to a contract in each month for the first year.

Cost of Goods Sold (COGS): This should be calculated for products and some services. It is the included cost to produce the product. For instance, if you sell clothing, the COGS would be what price you paid to buy the clothing from a manufacturer. If you make them yourself, it would be the cost of the materials and labour to make them. For services, it would be the direct labour cost for an hour of billable work. Everything below Gross Profit on the P&L are fixed or overhead costs for the overall business, such as rent or telephone or even marketing.

START-UP COSTS				
Your Coffee Shop		August 18, 2026		
COST ITEMS	MONTHS	COST/ MONTH	ONE-TIME COST	TOTAL COST
Advertising/Marketing				\$0
Employee Salaries				\$0
Employee Payroll Taxes and Benefits				\$0
Rent/Lease Payments/Utilities				\$0
Postage/Shipping				\$0

START-UP COSTS				
Your Coffee Shop	August 18, 2026			
COST ITEMS	MONTHS	COST/ MONTH	ONE-TIME COST	TOTAL COST
Advertising/Marketing	3	\$300	\$2,000	\$2,900
Employee Salaries	4	\$3,500	\$2	\$14,002
Employee Payroll Taxes and Benefits	4	\$500	\$2,000	\$4,000
Rent/Lease Payments/Utilities	4	\$750	\$3,000	\$6,000
Postage/Shipping	1	\$25	\$25	\$50

START-UP COSTS

Your Coffee Shop

August 18, 2026

[illegible]

START - UP COSTS													
Your Coffee Shop	August 18, 2026												
REVENUE	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YTD
Estimated Product Sales	\$5,000	\$13,000	\$16,000	\$7,000	\$14,500	\$16,400	\$22,500	\$23,125	\$24,549	\$22,000	\$25,000	\$27,349	\$216,423
Less Sales Returns & Discounts	\$0	(\$350)	\$0	(\$206)	(\$234)	\$0	\$0	(\$280)	(\$1,200)	(\$1,600)	\$0	(\$2,400)	(\$6,270)
Service Revenue	\$0	\$0	\$0	\$0	\$0	\$250	\$350	\$100	\$0	\$0	\$1,245	\$1,360	\$3,305
Other Revenue	\$0	\$0	\$0	\$0	\$0	\$0	\$0	\$1,500	\$0	\$0	\$0	\$0	\$1,500
Net Sales	\$5,000	\$12,650	\$16,000	\$6,794	\$14,266	\$16,650	\$22,850	\$24,445	\$23,349	\$20,400	\$26,245	\$26,309	\$214,958
Cost of Goods Sold	\$2,000	\$5,200	\$6,400	\$2,800	\$5,800	\$6,560	\$9,000	\$9,250	\$9,820	\$8,800	\$10,000	\$10,940	\$86,569
Gross Profit	\$3,000	\$7,450	\$9,600	\$3,994	\$8,466	\$10,090	\$13,850	\$15,195	\$13,529	\$11,600	\$16,245	\$15,369	\$128,389
EXPENSES	JAN	FEB	MAR	APR	MAY	JUN	JUL	AUG	SEP	OCT	NOV	DEC	YTD
Salaries & Wages	\$2,500	\$2,500	\$3,500	\$5,000	\$5,000	\$5,000	\$8,000	\$9,000	\$9,000	\$9,000	\$9,000	\$9,000	\$76,500
Marketing/Advertising	\$400	\$450	\$450	\$450	\$900	\$900	\$900	\$900	\$900	\$900	\$1,200	\$1,200	\$9,550
Sales Commissions	\$250	\$650	\$800	\$350	\$725	\$820	\$1,125	\$1,156	\$1,227	\$1,100	\$1,250	\$1,367	\$10,821
Rent	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$1,250	\$15,000
Total Expenses	\$4,400	\$4,850	\$6,000	\$7,050	\$7,875	\$7,970	\$11,275	\$12,306	\$12,377	\$12,250	\$12,700	\$12,817	\$111,871
Income Before Taxes	(\$1,400)	\$2,600	\$3,600	(\$3,056)	\$591	\$2,120	\$2,575	\$2,889	\$1,152	(\$650)	\$3,545	\$2,552	\$16,518
Income Tax Expense	(\$210)	\$390	\$540	(\$458)	\$89	\$318	\$386	\$433	\$173	(\$98)	\$532	\$383	\$2,478
NET INCOME	(\$1,190)	\$2,210	\$3,060	(\$2,598)	\$502	\$1,802	\$2,189	\$2,455	\$979	(\$553)	\$3,013	\$2,169	\$14,040